LEASE AGREEMENT

Retail Commercial Premises — IFRS 16

LANDLORD: Fifth Avenue Properties LLC, a Delaware limited liability company with its principal place of business at 200 Park Avenue, New York, NY 10166

TENANT: Luxe Retail Holdings Inc., a Delaware corporation with its principal place of business at 520 Fifth Avenue, New York, NY 10036

PREMISES: 520 Fifth Avenue, New York, NY 10036 — Second Floor, comprising approximately 8,500 square feet of retail space

STANDARD: This Lease is governed and reported under **IFRS 16 Leases** as adopted by the Tenant for financial reporting purposes.

RECITALS

WHEREAS, Landlord is the owner of certain commercial real property located at 520 Fifth Avenue, New York, NY 10036; and

WHEREAS, Tenant desires to lease from Landlord the Premises described herein for use as a retail establishment; and

WHEREAS, Landlord is willing to lease the Premises to Tenant on the terms and conditions set forth herein;

NOW, THEREFORE, in consideration of the mutual covenants and agreements contained herein, the parties agree as follows:

§1 — Definitions

"Commencement Date" — means March 1, 2023.

"Expiry Date" — means February 28, 2033.

"Initial Term" — means the period of ten (10) years commencing on the Commencement Date and expiring on the Expiry Date.

"Premises" — means the retail space comprising approximately 8,500 rentable square feet located on the Second Floor of 520 Fifth Avenue, New York, NY 10036.

"Base Rent" — means the annual rental of USD $720,000, payable in equal monthly instalments of USD $60,000.

"Lease Year" — means each successive twelve (12) month period commencing on the Commencement Date or any anniversary thereof.

"Security Deposit" — means USD $120,000 as described in §6.1.

§2 — Premises and Lease Term

§2.1 Lease Term

The Landlord hereby leases to the Tenant, and the Tenant hereby takes from the Landlord, the Premises for a term of **ten (10) years**, commencing on **March 1, 2023** (the "Commencement Date") and expiring on **February 28, 2033** (the "Expiry Date"), unless sooner terminated or extended in accordance with the provisions of this Lease.

§2.2 Description of Premises

The Premises consist of approximately **8,500 rentable square feet** of retail space located on the **Second Floor** of the building situated at **520 Fifth Avenue, New York, NY 10036**. The Premises are to be used solely for retail purposes as set out in §4.

§3 — Renewal Options

§3.1 Option to Renew

Provided the Tenant is not in default under this Lease, the Tenant shall have **one (1) option to renew** this Lease for a further period of **five (5) years** (the "Renewal Term") on the same terms and conditions as this Lease (save as to rent, which shall be at market rent as agreed or determined in accordance with this §3). The Tenant shall exercise this option by delivering written notice to the Landlord not less than **twelve (12) months** prior to the expiry of the Initial Term. Failure to deliver timely written notice shall render this option null and void.

§4 — Use of Premises

The Tenant shall use and occupy the Premises solely for the purposes of operating a first-class retail establishment consistent with the character of 520 Fifth Avenue, New York, and for no other purpose without the prior written consent of the Landlord. The Tenant shall comply with all applicable laws, regulations, and ordinances governing the use and occupation of the Premises.

§5 — Rent

§5.1 Base Rent

The Tenant shall pay to the Landlord as Base Rent the annual sum of **USD $720,000**, payable in equal consecutive monthly instalments of **USD $60,000** each, due and payable in advance on the first day of each calendar month throughout the Initial Term.

§5.2 Payment Schedule

Rent payments shall be made by electronic funds transfer to such bank account as the Landlord shall notify the Tenant in writing. Time is of the essence with respect to all rent payments. In the event of any late payment, interest shall accrue at the rate of 1.5% per month on the overdue amount.

§5.3 Rent Escalation

Commencing on the first anniversary of the Commencement Date and on each subsequent anniversary thereof during the Initial Term, the Base Rent shall be increased by **2.5% per annum**. Such escalation shall be applied cumulatively on each Lease Year anniversary, and the Landlord shall provide written notice of the adjusted rent amount no later than thirty (30) days prior to each anniversary date.

§6 — Security Deposit

§6.1 Security Deposit Amount and Terms

Upon execution of this Lease, the Tenant shall deposit with the Landlord the sum of **USD $120,000** (being equivalent to two (2) months' Base Rent) as a security deposit (the "Security Deposit") to be held as security for the faithful performance by the Tenant of all obligations under this Lease. The Security Deposit shall be held in a separate interest-bearing account and shall not be commingled with the Landlord's funds. The Security Deposit shall be returned to the Tenant within thirty (30) days following the expiry or earlier termination of this Lease, subject to any deductions for damage or unpaid obligations.

§7 — Operating Costs and IFRS 16 Accounting Provisions

§7.1 Right-of-Use Asset

The parties acknowledge that this Lease constitutes a lease within the scope of IFRS 16 Leases. The Tenant shall recognise a right-of-use (ROU) asset representing the Tenant's right to use the Premises for the lease term in accordance with IFRS 16 paragraph 22. The ROU asset comprises the Second Floor retail space of **8,500 square feet** at **520 Fifth Avenue, New York, NY 10036**. The quantification of the ROU asset value is dependent upon the determination of the discount rate pursuant to §7.2.

§7.2 Discount Rate / Incremental Borrowing Rate

The Tenant shall apply its incremental borrowing rate as defined under IFRS 16 paragraph 26, to be determined at the Commencement Date. No specific discount rate is stipulated in this Lease. The Tenant shall be responsible for determining and documenting its incremental borrowing rate at commencement in accordance with IFRS 16 paragraphs 26 and 27, and shall apply such rate consistently for the purpose of measuring the lease liability and right-of-use asset.

§7.3 Premises Detail

For the purposes of IFRS 16 asset recognition, the leased asset is classified as commercial retail premises, being the Second Floor of 520 Fifth Avenue, New York, NY 10036, comprising 8,500 rentable square feet. The Tenant's right-of-use encompasses the right to obtain substantially all of the economic benefits from use of the identified asset throughout the period of use.

§8 — Insurance

The Tenant shall obtain and maintain, at its sole cost and expense, throughout the Term: (a) commercial general liability insurance with limits of not less than $5,000,000 per occurrence; (b) property insurance covering Tenant's improvements and personal property for their full replacement cost; and (c) such other insurance as the Landlord may reasonably require. All policies shall name the Landlord as an additional insured and shall provide for thirty (30) days' prior written notice of cancellation.

§9 — Termination

§9.1 Termination Rights

Either party may terminate this Lease upon the completion of **Year 5** of the Initial Term (being February 28, 2028) by delivering not less than **eighteen (18) months' prior written notice** to the other party. Such notice must be delivered in writing in accordance with the notice provisions set out herein. Upon the expiry of the notice period, this Lease shall terminate and the Tenant shall vacate and yield up the Premises in the condition required by this Lease. This termination right is exercisable only once and shall lapse if not exercised in accordance with this clause.

§9.2 Termination for Cause

Notwithstanding §9.1, either party may terminate this Lease immediately upon written notice in the event of a material breach by the other party that remains uncured for a period of thirty (30) days following written notice specifying the breach in reasonable detail.

§10 — Alterations

The Tenant shall not make any structural alterations, additions, or improvements to the Premises without the prior written consent of the Landlord, which consent shall not be unreasonably withheld. All approved alterations shall be performed in a good and workmanlike manner in compliance with all applicable laws and permits.

§11 — Assignment and Subletting

The Tenant shall not assign this Lease or sublet the whole or any part of the Premises without the prior written consent of the Landlord, which consent shall not be unreasonably withheld or delayed. Any permitted assignment shall not release the Tenant from its obligations under this Lease unless the Landlord agrees otherwise in writing.

§12 — Default and Remedies

The occurrence of any of the following shall constitute an event of default: (a) failure to pay Base Rent within five (5) days after the due date; (b) failure to perform any other obligation under this Lease within thirty (30) days after written notice; (c) insolvency or bankruptcy of the Tenant. Upon an event of default, the Landlord shall have all rights and remedies available at law and in equity, including the right to terminate this Lease and recover damages.

§13 — Quiet Enjoyment

So long as the Tenant is not in default under this Lease, the Landlord covenants that the Tenant shall peaceably hold and enjoy the Premises throughout the Term without any hindrance or interruption by the Landlord or any person claiming through or under the Landlord.

§14 — General Provisions

§14.1 Governing Law

This Lease shall be governed by and construed in accordance with the laws of the **State of New York**, without regard to its conflict of laws principles. The parties hereby submit to the exclusive jurisdiction of the courts of the State of New York and the United States District Court for the Southern District of New York for the resolution of any disputes arising under or in connection with this Lease.

This Lease constitutes the entire agreement between the parties with respect to the subject matter hereof and supersedes all prior negotiations, representations, warranties, and understandings of the parties. This Lease may not be modified or amended except by a written instrument signed by both parties.

§SIGNATURES — Execution

IN WITNESS WHEREOF, the parties have executed this Lease Agreement as of the date last written below.

LANDLORD
Fifth Avenue Properties LLC

Signature: ______________________________

Name: Authorised Signatory

Title: ___________________________________

Date: March 1, 2023

TENANT
Luxe Retail Holdings Inc.

Signature: ______________________________

Name: Authorised Signatory

Title: ___________________________________

Date: March 1, 2023